

often at the same time, so frenzied have things become: *broker*; *dealer*; *auctioneer*; and *referee*.

As a *broker* the specialist holds orders that can't be executed at the price stipulated by the customer until an opportunity arises.

The specialist must, according to Exchange rules, act as a *dealer* in his allocated stocks and options. In doing this he must risk the firm's capital by buying and selling for his own account whenever there is a temporary imbalance between buy and sell orders. To close the gap between bids and offers, the specialist, trading for his own account, may have to offer to buy at a higher price than anyone else is accepting, and sell at a price lower than anyone else is offering.

As an *auctioneer*, when the bell rings the specialist establishes an opening price for the stocks or options. If a reopening is necessary because of a trading halt, the specialist presides and manages order imbalances while setting the new prices.

Specialists are involved in every trade, even if they do not participate financially. That's how they operate as *referees* or, on busy days, as traffic cops. Somebody has to separate the brokers, representing public and institutional orders, from the traders, who establish positions for their personal accounts. Priorities are usually set on a first come—first serve basis—actually, first *yell*—first *heard*. It's up to the specialist to monitor the cacophony and determine who was first and who *claimed* to have been first. Though specialists are not required, under Exchange rules, to risk life and limb by breaking up brawls, they are empowered to levy fines ranging from five hundred to one thousand dollars—assuming a floor official approves.

Operating a specialist firm on the trading floor can be very profitable because you're ideally situated to react to fast-breaking news, often at the moment it happens. The tradeoff is that by your pledge to "make markets" and risk the firm's capital, you can be wiped out in a single afternoon, as indeed a number of specialist firms were during the Octo-